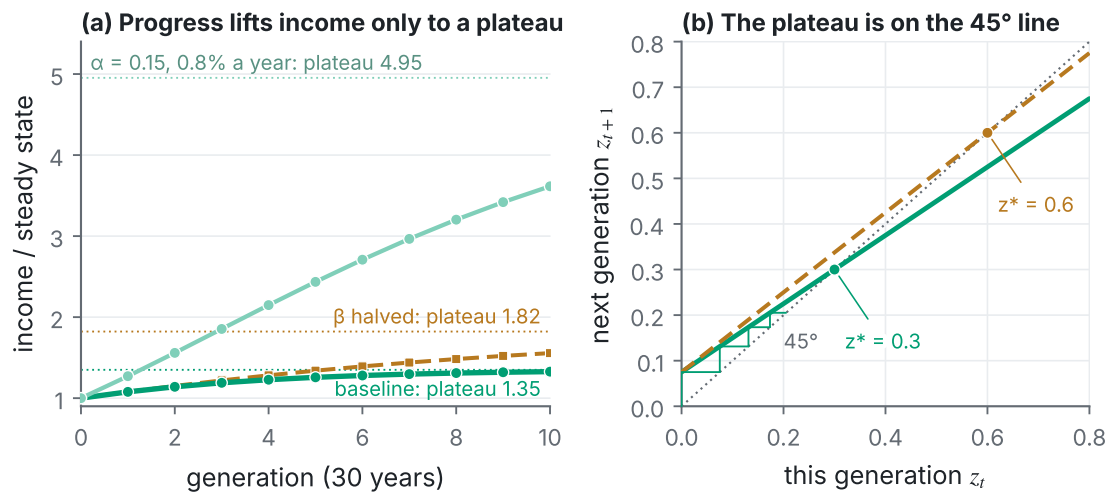
(a) Progress lifts income only to a plateau
α = 0.15, 0.8% a year: plateau 4.95
β halved: plateau 1.82
baseline: plateau 1.35
income / steady state
generation (30 years)
1
2
3
4
5
0
2
4
6
8
10
(b) The plateau is on the 45° line
next generation z_{t+1}
this generation z_t
z* = 0.6
z* = 0.3
45°
0.0
0.1
0.2
0.3
0.4
0.5
0.6
0.7
0.8